EXECUTIVE SUMMARY

A. Introduction:

The Municipality of Solana was founded on August 18, 1952 and named after then Governor Antonio Urbiztondo Marquez dela Solana. It is a first class municipality covering an area of 277.22 square kilometers with 38 barangays and with about 87,606 inhabitants. The Municipality is surrounded by the following: on the east by the magical Cagayan River, bounded on the north by the Municipality of Amulung, on the south by the Municipality of Enrile, on the southwest by the Province of Kalinga and on the northwest by the Municipalities of Piat and Tuao.

Financial, compliance, and performance audit were conducted on the accounts and operations of the LGU Solana, Cagayan for the calendar year 2020. The audit objectives were to ascertain the propriety of the disbursements, the reliability of the financial reports, the adequacy of accounting records, compliance with laws, rules, and regulations, as well as adherence to prescribed policies and procedures. Likewise, the audit was conducted to determine whether plans, programs, activities and projects for the year were attained in an efficient, economic and effective manner.

B. Highlights of Financial Information:

The financial condition and results of operations of LGU-Solana, Cagayan for CY 2020 with comparative figures for CY 2019 are as follows:

	2020	**2019**	**Increase/(Decrease)**
Assets	857,217,632.74	785,590,156.37	71,627,476.37
Liabilities	274,260,486.87	251,340,314.10	22,920,172.77
Government Equity	582,957,145.87	534,249,842.27	48,707,303.60
Income	298,924,353.42	381,767,847.74	(82,843,494.32)
Expense	249,720,282.88	213,068,775.71	36,651,507.17
Appropriation	314,928,665.02	289,053,585.88	25,875,079.14
Obligation	294,210,617.54	248,740,351.95	45,470,265.59

The funds received by the LGU and transferred to other agencies and non-government and people's organizations for CY 2020 with comparative figures for CY 2019 are shown below:

	2020	**2019**	**Increase/(Decrease)**
Funds Received from Other Agencies:			
NGAs	13,425,507.90	133,054,583.28	(119,629,075.38)
LGUs	200,000.00	4,957,963.40	(4,757,963.40)
NGOs/POs	0.00	0.00	0.00
Others	0.00	0.00	0.00
Total	**13,425,507.90**	**138,012,546.68**	**(124,587,038.78)**

	2020	2019	Increase/(Decrease)
Funds Transferred to Other Agencies:			
NGAs	208,400.00	0.00	208,400.00
LGUs	2,158,332.00	496,574.00	1,661,758.00
NGOs/POs	0.00	0.00	0.00
Others	0.00	0.00	0.00
Total	**2,366,732.00**	**496,574.00**	**1,870,158.00**

C. Independent Auditor's Report on the Financial Statements:

The Auditor rendered an **unmodified opinion** on the fairness of the presentation of the financial statements of the LGU Solana, Cagayan as of December 31, 2020.

D. Summary of Significant Audit Observations and Recommendations:

1. **Negotiated Procurement – Emergency Cases totaling P1,631,072.00 were not posted on the Government Procurement Policy Board Online – Portal, which is not in compliance with GPPB Advisory No. 05-2020, thus the transparency of the transactions were not fully achieved.**

   We recommended that the Management require the Bids and Awards Committee to post on the GPPB Online Portal all Negotiated Procurement – Emergency Cases under RA 11469 in compliance with GPPB Advisory No. 05-2020.

2. **Some necessary details in the project requirements were not prepared in all the Negotiated Procurement – Emergency Cases transacted by the Municipality, which is not in compliance with GPPB Circular No. 01-2020.**

   We recommended that the Management prepare the necessary details in its procurement in compliance with GPPB Circular No. 01-2020.

3. **Acquired lands, with a total area of 13,106.50 square meters, and a total net book value of P1,048,888.69, were not titled in the name of the Municipality, which is not in accord with Section 39 of Presidential Decree No. 1445, thus the absolute title over the properties were not yet transferred to the Municipality.**

   We recommended that the Local Chief Executive require the General Service Officer to undertake the titling of the lots in the name of the Municipality in accord with Section 39 of PD No. 1445 and to establish ownership in the name of the Municipality.

4. **There are Financial Assistance to barangays totaling to P5,250,273.70, which remained unliquidated/unimplemented, thus as the case of unimplemented financial assistance, it deprived the recipients of the benefits that could be**

derived therefrom because of the delayed implementation of the projects intended, which contravenes the sound management of public funds.

We recommended that the Management require the concerned Barangays to submit the liquidation reports of outstanding financial assistance which were already disbursed, and the Municipal Engineer to monitor the implementation of the unimplemented financial assistance, if any.

5. **The Municipality granted additional loans totaling to P65,000.00 to Business Owners, who have remaining unsettled accounts, contrary to sound management practice and Section 4(8) of Presidential Decree No. 1445.**

   We recommended that the Management review their policy on the grant of additional loans to Business Owners in compliance with Section 4(8) of PD No. 1445.

6. **Accounts Payable totaling to P423,725.40 have been outstanding for two (2) years or more, contrary to Item 3.2.b of COA Circular 99-004, thus, rendering the account unreliable.**

   We recommended that the Local Chief Executive require the Municipal Budget Officer and Municipal Accountant to review and analyze the Accounts Payable, which had been outstanding for two years or more. If upon review, the condition of reversion exists, disclose the same to the Notes to Financial Statements.

7. **The Municipality did not fully maximize the use of the available appropriations for the 70% Mitigation Fund of the Local Disaster Risk Reduction and Management Fund and Continuing Appropriation totaling ₱14,600,128.05, with only ₱12,088,078.87 or 82.79% of the total utilization as of December 31, 2020, thereby, leaving a total unutilized balance of ₱2,512,049.18, contrary to Republic Act No. 10121, hence, the fund remained idle and the intended purpose was not fully achieved.**

   We recommended that the Municipal DRRM Officer and other concerned implementing offices fully utilize the fund and implement all budgeted projects, programs and activities to fully achieve its intended purpose in compliance with R.A No. 10121.

E. Summary of Total Suspensions, Disallowances, and Charges:

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions:					
Prior Years	P17,378,943.64	P 0.00	P 0.00	P17,378,943.64	0.00%
Current Year	0.00	0.00	0.00	0.00	0.00%
Total	**P17,378,943.64**	**P 0.00**	**P 0.00**	**P17,378,943.64**	**0.00%**
Disallowances:					
Prior Years	P499,576.02	P 0.00	P10,617.66	P488,958.36	2.13%
Current Year	0.00	0.00	0.00	0.00	0.00%
Total	**P499,576.02**	**P 0.00**	**P10,617.66**	**P488,958.36**	**2.13%**
Charges:					
Prior Years	P 0.00	P 0.00	P 0.00	P 0.00	0.00%
Current Year	0.00	0.00	0.00	0.00	0.00%
Total	**P 0.00**	**P 0.00**	**P 0.00**	**P 0.00**	**0.00%**

F. Status of Implementation of Prior Year's Audit Recommendations:

Of the 10 prior year's audit recommendations embodied in the 2019 Annual Audit Report, six (6) were fully implemented and four (4) were partially implemented.